NextEra Energy, Inc.

NEE NYSE

Hold	$89.09 ▼ 0.50%	12M Price Target **$95.00**	52-Week Range $69.24 – $98.75	Market Cap $185.82B

NEE: AI Power Demand Meets Trump-Era Renewable Headwinds

WHAT HAPPENED

- NEE is quietly grinding higher — up ~2% over the past week to $89, now sitting at 67% of its 52-week range. Not much stock-specific news, but the Motley Fool piece on "AI-driven rise in power bills causing a $25B problem for utilities" is the real story here. Translation: data centers are jacking up electricity demand so fast that utilities can't build capacity fast enough, and regulators are getting nervous about who pays for it.
- Options flow is flashing bearish — put/call ratio of 1.89 means traders are buying nearly 2 puts (bets stock goes down) for every call (bets it goes up), with unusual put activity at $91-93 strikes expiring this month. Somebody is either hedging or expecting a near-term pullback.

WHY IT MATTERS

Here's the tension you need to understand: NEE is the biggest renewable energy developer in the country AND the biggest regulated utility in Florida (via FPL), which makes it a schizophrenic stock in 2026. The Trump administration's "One Big Beautiful Bill" from mid-2025 gutted a lot of the Inflation Reduction Act's clean energy tax credits — that's a headwind for NEE's wind/solar development pipeline. BUT, the AI data center boom is creating such massive electricity demand that utilities like NEE are printing money on the regulated side, and even wind/solar projects already in the pipeline (grandfathered under old credits) are more valuable than ever. The bearish put flow probably reflects near-term nervousness about Q2 earnings (late July) where analysts will grill management on how much of the tax credit rollback actually hits their project economics.

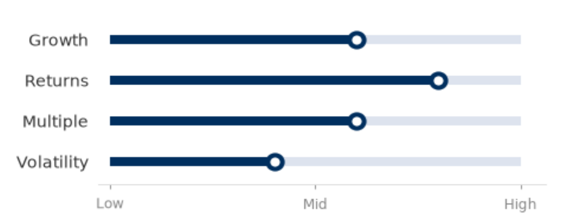
POLICY & POLITICAL WATCH

The big one: Treasury is still writing the implementation rules for the IRA rollback provisions from the 2025 tax bill — specifically, what counts as "commenced construction" for grandfathered renewable projects. If Treasury interprets it strictly, NEE could lose credits on billions in projects. Watch for guidance in the next 60 days. Meanwhile, FERC (the federal energy regulator) is actively debating rules on who pays for the grid buildout needed for AI data centers — a favorable ruling that lets utilities pass costs to data center customers directly (rather than residential ratepayers) would be a huge tailwind for NEE. Also watch Florida's Public Service Commission — FPL has a rate case pending that determines their allowed return on equity for the next 4 years.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$89.09**
12M Price Target	**$95.00**
Upside / (Downside)	**+6.6%**
Market Cap	**$185.82B**
FY2026E Revenue	**$28,500M**
FY2027E Revenue	**$31,200M**
FY2026E EPS	**$3.65**
FY2027E EPS	**$4.00**
Fwd P/E	**24.4x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

AI-Generated Pre-Market Brief | 2026-07-15 14:23 UTC

NEE — NextEra Energy, Inc. | July 15, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$94.00**	$89.00	**$84.00**
6 Months	**$100.00**	$92.00	**$80.00**
1 Year	**$108.00**	$95.00	**$75.00**
2 Years	**$125.00**	$105.00	**$70.00**
5 Years	**$160.00**	$130.00	**$65.00**
10 Years	**$220.00**	$170.00	**$60.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech and Comm Services are leading (+1.17% and +1.35% today) — the AI trade is very much still on, which indirectly helps NEE because AI = power demand = utility earnings growth.

COOLING OFF: Materials is weak (-1.60% over 5 days) — reflects worries about tariffs and China trade tensions weighing on industrial commodities.

ROTATION WATCH: Money is rotating INTO growth (tech, comm services) and away from cyclicals/materials. Utilities like NEE are a weird hybrid right now — defensive yield play AND AI derivative. That's why the stock is holding up but not exploding.

RELATED PLAY: If you believe the AI power thesis, the picks-and-shovels play is grid infrastructure — companies like Quanta Services (PWR) or Eaton (ETN) that build the transmission lines and electrical equipment utilities need. They're arguably better AI plays than NEE itself.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): The nuclear play — signed direct power purchase agreements with Microsoft and Meta for data centers. Best pure-play AI-power name.
- VST (Vistra): Also crushing it on data center deals, up huge over the past year on Texas power demand.

NEE CONTEXT: NEE is LAGGING the pure AI-power names because 40% of its story is renewables (which have policy headwinds) rather than nuclear/gas (which don't). NEE is more of a "quality compounder" than a "AI rocket ship" — that's fine if you want lower volatility, but if you want to bet hard on AI power demand, CEG and VST are more direct.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 3-5% of portfolio (core defensive holding)

Entry Points: $82-85 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Full repeal of remaining IRA renewable credits or Florida rate case loss

Hedging: Pair with a natural gas name like WMB to hedge against renewable policy risk